The squad AI pilot playbook

A proposed method for testing whether AI coding agents earn a place in a delivery squad, written for the business analyst or product owner who runs the pilot and the delivery lead who decides. It is a design, not a report of results: every limit here is a proposal for the sponsor to agree before the pilot starts.

1. The problem

Who has the problem

A delivery or operations lead in a regulated back office (claims, underwriting, HR and talent operations). Their people already use AI on their own. They have to decide whether agents become part of how a squad delivers software, and whether other teams should follow.

The decision they face

Scale, adjust or stop, after one squad has tried it. Today there is rarely an agreed measure to make that call with.

Why that's hard

1. Individual use doesn't add up to company results on its own. The small group of companies getting the most value from AI (about 6% of respondents) are nearly three times as likely to have fundamentally redesigned their workflows (McKinsey, The state of AI, November 2025; 1,993 participants).
2. Leaders expect change, but few redesign the work. 62% of executives expect AI to transform their business within three years; 15% are redesigning their end-to-end processes (Accenture, Future of Work Trends 2026, p.16).
3. Felt speed misleads. In a small controlled study, experienced developers took 19% longer with AI and believed they were 20% faster (METR, July 2025, 16 developers). A larger 2026 follow-up (57 developers) pointed to a speedup but was inconclusive; METR itself calls that signal unreliable because of how developers were selected and how time was measured.
4. The extra work lands on the reviewers. Teams with high AI adoption merged 98% more pull requests, and review time rose 91% (Faros AI, data as of June 2025, vendor telemetry from more than 10,000 developers).
5. In insurance, AI systems used in decisions about customers fall under the NAIC model bulletin in the states that adopted it (adopted in 24 jurisdictions by March 2025), which asks for a written AI program and oversight. Coding agents aren't covered by it directly, but the

claims systems they change often feed those decisions, so the firm will want a record of who wrote and approved every change.

The problem in one sentence

A delivery lead can't tell whether giving agents part of a squad's work pays off, because the gains are felt rather than measured, the extra work lands on reviewers, and nobody agreed before the pilot how it would be judged.

What we are solving

How a Sr BA or PO sets up one squad's pilot so the lead can decide on evidence, and what the squad hands to the next team.

What the lead will also ask (answered in steps 2 to 4)

- Risk: what customer data reaches the tools, security review, the record of who wrote what, and how to undo a bad change.
- People: will developers and reviewers want this, does review load burn them out, and the question every team asks, "is this about replacing us?"
- The pilot's own cost: licences and usage, the BA's time, a slower squad while it learns, and who signs off (IT security, model risk).
- The baseline: what "pays off" is measured against.

What we are not solving

- Which AI tool to buy.
- Company-wide AI strategy.
- Replacing people with agents.
- Building an agent product.

2. The people

Above the squad

Who	Their part	What they need from the pilot	What would make them distrust it
Head of delivery or operations	Decides at the end: scale, adjust or stop	One honest answer, against measures agreed at the start	Numbers that only show the good weeks, or measures picked after the results

Who	Their part	What they need from the pilot	What would make them distrust it
Product manager or delivery lead who oversees the project	Owns the roadmap, priorities, plan and budget; picks which work goes into the pilot; reports progress up	The pilot not to put committed dates at risk, and an early warning if it's slowing the squad	Being surprised by a slip, or a pilot that only took the easy work

The squad (does the work)

Who	Their part	What they need from the pilot	What would make them distrust it
Sr BA or PO	Writes the specs, sets the measures with the head of delivery and the project's PM or delivery lead, checks each agent plan matches what the business asked for, reports back	Time set aside for it, and a lead who agreed the measures up front	Being asked to prove a result leadership already decided
Tech lead	Approves each agent's technical plan and owns how the system is built	Agents that follow the team's design and coding rules	Agent code nobody on the team understands
Developers	Hand work to agents, review what comes back, fix what's wrong	To be judged on accepted work, not on how much code appears	Review load growing while they're measured on speed; the fear of being replaced
Testers	Check the work against the acceptance criteria	Clear acceptance criteria to test against	Agents testing their own work and calling it done
Scrum master or delivery manager	Keeps the team's rhythm and clears blockers	Meetings that still help the team decide something	Meetings kept out of habit after the work changed
Business owner of the system (e.g. the claims operations manager)	Says whether each change does what the business needed	Changes they can check in the time they have	More changes arriving than they can check

The gatekeepers (can stop it before or during the pilot)

Who	What they decide	When
Enterprise architecture	Which AI tools are approved and where code may run	Before the pilot starts

Who	What they decide	When
Third-party risk, procurement and legal	Licences, the vendor's data terms and AI clauses	Before the pilot starts
Data owner and privacy	Whether any claims data (personal and health details) may reach the tools	Before the pilot starts
IT security and IT risk	Security review of the tools and of agent-written code	Before and during
Change advisory board, or release management	Whether each change goes to production	At every release
An outside IT firm, where it staffs the squad	Whether its contract allows its people to use AI tools	Before the pilot starts

HR comes in only if roles or performance measures change because of the pilot.

The agents

Claude and Codex are on the team, but they aren't accountable. For every pull request (one batch of code changes sent for review) an agent produces, one named person approved the plan and a different named person accepted the result. An agent can help check another agent's work, but the check that counts is a person comparing the result with the spec.

3. What counts as value

What "worth it" means to each person

Who	Worth it means
Head of delivery or operations	Each piece of accepted work costs less, with nothing breaking in production
Product manager or delivery lead	Committed dates hold, and more of the roadmap gets done
Sr BA or PO	Fewer misunderstood requirements reach review
Tech lead	The system stays one the team understands and can change
Developers	Less routine work, and review load they can keep up with
Testers	Fewer defects found late
Business owner of the system	Changes that do what they asked for the first time, without more of their time spent checking

Who	Worth it means
Gatekeepers	No customer data where it shouldn't be, no new security holes, and a record of who approved what

The main result: the one number the decision rests on

Cost per piece of accepted work, with rework counted, compared with the same squad's work before the pilot.

- A piece of work is a story, sized the way the squad already sizes its work. The PM or delivery lead picks the pilot's work so the mix of easy and hard matches the squad's usual mix.
- Accepted means the business owner signed it off.
- Cost means tool fees plus people's time, including review and fixing what came back.
- Work sent back and redone counts again, and so does a defect traced back to it within 30 days of release.

Why this one: it is the scale-or-stop question in money, and it puts spend and quality in one number. Accenture's 2026 report makes a related point about AI spend: as prices per task fall, organizations "will need to look beyond the cost of individual tasks to understand the total cost and value" (p.10).

What must not get worse

Any one of these can stop the pilot. Step 4 sets the limit for each and what happens when one is breached.

1. Problems in production: changes that fail after release, and time to put them right. Counted at each release, not weekly. DORA's 2025 report found AI use linked to less stable delivery overall, though it varied by team.
2. Committed dates: the PM or delivery lead flags any committed date the pilot puts at risk.
3. Review load: hours reviewers spend each week, against their baseline. Faros AI found review time up 91% on teams with high AI adoption (data as of June 2025, vendor telemetry).
4. Code the team can keep: the tech lead says yes or no on each agent change, "would we keep this as it is?"
5. Security: new findings in agent-written code from the usual security checks.
6. The business owner's checking time.
7. The team: a short weekly check that developers and testers can keep up and want to continue.
8. A pass or fail rule, not a trend: no claims data reaches a tool it wasn't cleared for, and every change has a named approver and a different named accepter.

What doesn't count as value

- Lines of code, number of changes, or how many people used the tools.
- How fast the work felt. In METR's 2025 study of 16 experienced developers, they believed they were 20% faster while taking 19% longer; a larger 2026 follow-up was inconclusive.

4. The measures and limits

The comparison

A second squad, as close as possible in size and kind of work, carries on without agents and is measured the same way over the same sprints. The decision compares how much each squad changed against its own baseline. That takes out the season, the backlog and anything else both squads share. Where no second squad is available, the pilot squad's result has to hold in at least three of the four measured sprints.

The main result: how it's counted

Cost per accepted story point = (what the squad costs in salaries and contractor rates + AI tool spend) ÷ story points accepted in the same sprints.

- The squad's cost per sprint comes from the budget.
- AI tool spend comes from the vendors' usage reports. Claude Code can export cost by user (Anthropic's monitoring docs, in beta); OpenAI's usage reporting for Codex should be confirmed with the vendor.
- Story points accepted come from the work tracker (Jira or Azure DevOps). Only stories the business owner signed off count.
- With the same people each sprint, the cost side barely moves, so the number mostly moves with how much accepted work the squad gets done. Rework shows up because a story sent back loses its points until it's accepted again. Fixing a defect found after release is tracked as work that earns no points.
- Every Friday, each person splits their week into three numbers: hours building, hours reviewing, hours fixing work that came back. It takes two minutes and shows where the time went. It explains the result; it isn't the result.

Keeping the points honest

- Stories are sized the usual way before anyone decides whether an agent works on them, and the sizing rules don't change during the pilot.
- Twice during the pilot, a lead from another squad re-sizes ten finished stories without seeing the original sizes. If the pilot squad's sizes run clearly higher, the points are corrected before the decision.

The baseline

Each squad's last six sprints before the pilot, counted the same way, including defects found within 30 days of each release.

The checks that must not get worse

Check	Where the data comes from	Proposed limit	When
Changes that caused a problem after release	Change and incident records	No higher than the squad's baseline	Each release
Committed dates	The PM or delivery lead records any committed date at risk and the squad's reason	The head of delivery decides whether the pilot caused it	Each sprint
Review hours	The Friday split	No more than a quarter above baseline	Weekly
Code the team would keep	The tech lead's yes or no on each agent change, spot-checked by an architect from outside the squad on five changes a month	At least 8 in 10 kept as they are	Each change
Security	The squad's usual security scans	No serious finding released, and no more findings than baseline	Each change
Business owner's checking time	Their own weekly estimate	They say it's still manageable	Weekly
The team	Two questions every Friday: can you keep up, and do you want to continue?	A majority "no" two weeks running counts as one breach	Weekly
Data and records	A field on each change showing the data was cleared and naming the approver and the accepter	Pass or fail	Each change

What happens when a check is breached:

- Data and records: any breach pauses the pilot at once.
- Any other check: the head of delivery and the PM or delivery lead decide that week whether to carry on. The same check breached twice stops the pilot.

Length and amount

- Two sprints to learn, not counted. Then four sprints measured, about 12 weeks with two-week sprints.

- The whole squad's accepted work counts, and it has to reach at least 30 accepted stories in the measured sprints. Fewer than that, and the answer is "not enough to decide yet".
- The final call comes 30 days after the last measured release, so its defects can show up.

The decision (proposed, agreed before the start)

- Scale: the pilot squad's cost per accepted story point fell by at least 20 percentage points more than the comparison squad's (for example 25% down against 5% down), and no check was breached twice.
- Stop: it fell less than the comparison squad's, or any check was breached twice.
- Adjust: anything in between, or a gain smaller than the squads' normal sprint-to-sprint swing (section 5). Change one thing and run four more sprints.

Sprints that can be left out

Agreed before the start, and only these: a sprint where someone in the squad was out for more than a week, where a major production incident pulled the squad off its work, or where the squad's members changed. Leaving a sprint out needs the head of delivery's written yes, given before that sprint's results are seen.

5. How the pilot runs

The shape

- One pilot squad works with agents (Claude and Codex). One comparison squad works the usual way. Both are measured the same way (section 4).
- A named sponsor from the start: the head of delivery protects the squad's learning time and owns the change to how the squad works, as well as the call at the end. McKinsey's November 2025 survey and BCG's 2025 survey both tie results to leaders who own the change.
- Two-week sprints in both squads, so the comparison and the committed dates line up. This is a deliberate departure from AWS's AI-DLC, where short cycles called bolts, measured in hours or days, replace sprints. Here agent work runs in short cycles inside the sprint, and the sprint stays as the rhythm for planning and decisions.

Timeline

When	What happens	Who decides
Weeks 1 to 3, before any agent work	Gatekeepers approve the tools, the data rules and the vendor terms. The head of delivery and the PM or delivery lead agree the measures and limits in writing. Both squads' baselines are pulled from the last six sprints.	Gatekeepers; the head of delivery

When	What happens	Who decides
Sprints 1 and 2	Learning sprints, not counted. The squad tries the new routine and fixes what doesn't work. Two is a starting guess: if the Friday numbers are still moving a lot, a third learning sprint is added before measuring starts, the measured sprints become 4 to 7, and the final call moves two weeks later.	The squad, with the sponsor
Sprints 3 to 6 (4 to 7 if a third learning sprint was added)	Measured sprints. Friday numbers, checks at each sprint end.	The head of delivery and the PM or delivery lead, each sprint
30 days after the last release	The final call: scale, adjust or stop.	The head of delivery

What changes in the pilot squad's routine, and what stays

The usual routine	In the pilot squad	Why
Backlog refinement	The BA brings the business intent and rules. An agent drafts the stories, acceptance criteria and its questions; the team checks and corrects them together, and the BA owns the result. AWS calls this Mob Elaboration.	Agents guess quietly where intent is vague. Their drafts and questions show the gaps while they're cheap to fix.
Sprint planning	Stays. Stories are sized first, then the team decides which ones agents take.	Keeps the points honest (section 4).
Daily standup	Stays, plus one question: what's waiting for review?	Review is where the work piles up (Faros AI, 2025).
Building	An agent drafts a plan for each story. The tech lead approves it, in batches during refinement or planning where possible; the BA joins only for stories heavy in business rules. Then the agent writes the code and tests.	A person approves the plan before any code is written. AWS's open-source AI-DLC workflows keep plan approval as a decision that always stays with a person.
Code review and testing	A developer reviews every agent change; a tester checks it against the acceptance criteria. Another agent may help check, but a person decides.	Accountability stays with people (section 2).
Definition of done	Adds: approver and a different accepter named, the data field filled in, the security scan clean, the tech lead's "we'd keep this".	The checks from step 4, made part of finishing a story.
Sprint review	Stays. The business owner sees and accepts the work.	Accepted work is the main result's unit.

The usual routine	In the pilot squad	Why
Retrospective	Stays, and starts with the Friday numbers.	The team sees where its time went.
Releases	Unchanged: the change board approves each one.	Agents don't change the release rules.

Where a person decides, story by story

Only number 2 is new; the rest already exist in a regulated Scrum team.

1. The BA: the story is ready (the agent's draft is checked and its questions answered).
2. The tech lead (with the BA for rule-heavy stories): the agent's plan is approved.
3. A developer: the code review passes.
4. A tester: the acceptance criteria pass.
5. The business owner: the work is accepted.
6. The change board: the release goes out.

From one person to the organization

The starting idea: "Learn/build from an individual --> Team --> Pod --> Organization." Each step up has to earn its way.

Step	What has to be true before moving up
Individual to team	People try the tools in a cleared sandbox: approved tools, no claims data, on their own work. The BA and tech lead have tried the routine on a few stories. The gatekeepers have approved the tools and data rules, and the sponsor is named.
Team to pod (a group of squads)	The pilot met the "scale" rule against the comparison squad; the playbook is written; the lead of the next squad has read it and agreed to try it.
Pod to organization	Two or more squads repeated the result; tool spend and the Friday numbers are collected automatically; the gatekeepers' approvals become the standard ones.

What the squad hands the next team (the playbook)

- The story template the agents worked best from.
- The Definition of Done additions.
- The six decision points above, with who held each.
- The numbers, including the sprints that went badly and what didn't work.

How sure the answer can be

One squad against one other over four measured sprints can only show a large difference. Before the start, each squad's normal swing from sprint to sprint is measured over its six baseline sprints. A result smaller than that swing counts as "adjust", not "scale", however good it looks.

Sources for every figure are in the research notes, with dates and whether each was checked at the source.

Milan Khanal · milankhanal.com · October 2026 · A proposed design, not a report of results.